

## Fourth quarter 2026 claims outlook: publication decision

To: Publication committee From: Forecasting desk Date: 6 October 2026 Record through the week ending 26 September 2026

### Decision

The outlook publishes the **model path for nine states** (Illinois, Indiana, Kansas, Michigan, Minnesota, Missouri, Ohio, South Dakota, Wisconsin) and **holds Iowa, Nebraska, North Dakota** on the benchmark path, because in those three the model's back test error is not below the benchmark's. The regional thirteen week total the outlook publishes, weeks ending 03 October to 26 December 2026, is **539,964 initial claims**. The desk's draft (all twelve on the model path, 560,749) and the methods lead's draft (five states held, 475,053) are not adopted.

### The two drafts: what each measured

**The desk, all twelve states on the model path: not adopted.** Its ground is true: pooled over the twelve states' 1,248 back test forecasts the model's error is 18.71 percent against 23.34 for the benchmark, and with the standard applied to the twelve states summed as one series it is 6.65 against 16.00. The standard has no regional test; each state is published on its own back test, and three states fail theirs. The regional result is carried by the large states where the model is strong (Illinois, Ohio, Michigan, Minnesota, Wisconsin) and hides the three where it is not.

**The methods lead, hold every state with model error above 20 percent: not adopted.** That holds Iowa, Michigan, Missouri, Nebraska, North Dakota. The level of the model's error is not the test; the test is whether it is below the benchmark's for the same state. Michigan (21.67 against 30.88) and Missouri (24.54 against 34.10) carry high errors because their claims are volatile, and the benchmark does worse still; the model earns its place there. The three states the standard holds are the three whose model does not.

### Back test by state

| State                 | Model error %       | Benchmark error %   | Margin                 | Status | Latest week   | Published 13 week total |
|-----------------------|---------------------|---------------------|------------------------|--------|---------------|-------------------------|
| Minnesota             | 5.20                | 34.39               | -29.19                 | model  | 2,835         | 75,407                  |
| Wisconsin             | 6.82                | 23.77               | -16.95                 | model  | 2,033         | 48,539                  |
| Kansas                | 19.60               | 30.37               | -10.77                 | model  | 797           | 16,125                  |
| Missouri              | 24.54               | 34.10               | -9.56                  | model  | 2,018         | 50,395                  |
| Michigan              | 21.67               | 30.88               | -9.21                  | model  | 4,557         | 98,756                  |
| Indiana               | 11.02               | 17.05               | -6.03                  | model  | 1,848         | 34,329                  |
| Illinois              | 9.19                | 13.16               | -3.97                  | model  | 5,639         | 104,258                 |
| Ohio                  | 9.97                | 13.61               | -3.64                  | model  | 4,326         | 80,383                  |
| South Dakota          | 12.00               | 14.54               | -2.54                  | model  | 160           | 3,926                   |
| Nebraska              | 26.94               | 22.59               | +4.35                  | held   | 461           | 8,177                   |
| Iowa                  | 24.42               | 17.69               | +6.73                  | held   | 1,355         | 17,160                  |
| North Dakota          | 53.13               | 27.95               | +25.18                 | held   | 215           | 2,509                   |
| <b>Midwest Region</b> | <b>18.71 pooled</b> | <b>23.34 pooled</b> | <b>9 model, 3 held</b> |        | <b>26,244</b> | <b>539,964</b>          |

The model is the count of the week 364 days before the target, scaled by the ratio of the latest eight weeks to the same eight weeks a year earlier; the benchmark is the latest four week mean held flat; the back test runs 26 origins, 4 to 29 weeks before the latest week, each forecasting the next four weeks, and scores the mean absolute percentage error over the 104 forecasts. The regular program count column was used throughout; the combined column is empty for every week since the pandemic programs ended.

### Why the model misses in the held states

**Iowa:** model 24.42 against benchmark 17.69, +6.73 points. The model carries last year's week by week profile forward, and over the back test span (weeks ending 07 March 2026 to 26 September 2026) that profile does not repeat: a year earlier the span peaked at 3,168 in the week ending 05 July 2025, this year it peaked at 2,466 in the week ending 21 March 2026; the prior year's weeks vary 28 percent around their mean against 20 percent this year, so the seasonal shape the model relies on is sharper in the base year than in the year being forecast, and the eight week ratio (0.811 at the latest origin) cannot correct timing. The flat benchmark, with nothing to mistime, does better.

**Nebraska:** model 26.94 against benchmark 22.59, +4.35 points. The model carries last year's week by week profile forward, and over the back test span (weeks ending 07 March 2026 to 26 September 2026) that profile does not repeat: a year earlier the span peaked at 2,149 in the week ending 24 May 2025, this year it peaked at 1,095 in the

week ending 05 September 2026; the prior year's weeks vary 40 percent around their mean against 27 percent this year, so the seasonal shape the model relies on is sharper in the base year than in the year being forecast, and the eight week ratio (0.888 at the latest origin) cannot correct timing. The flat benchmark, with nothing to mistime, does better.

**North Dakota:** model 53.13 against benchmark 27.95, +25.18 points. The model carries last year's week by week profile forward, and over the back test span (weeks ending 07 March 2026 to 26 September 2026) that profile does not repeat: a year earlier the span peaked at 1,452 in the week ending 31 May 2025, this year it peaked at 488 in the week ending 20 June 2026; the prior year's weeks vary 74 percent around their mean against 29 percent this year, so the seasonal shape the model relies on is sharper in the base year than in the year being forecast, and the eight week ratio (0.647 at the latest origin) cannot correct timing. The flat benchmark, with nothing to mistime, does better.

### **The published outlook against a year earlier**

The twelve published paths sum to **539,964** initial claims over the thirteen weeks, against **680,645** in the same thirteen weeks a year earlier (weeks ending 04 October 2025 to 27 December 2025), a change of -140,681 (-20.7 percent). The largest published change is **Illinois**, -50,990 (155,248 to 104,258, on the model path). By state the changes are Illinois -50,990, Michigan -21,576, Iowa -20,292, Ohio -10,276, Wisconsin -8,898, Nebraska -6,411, Indiana -5,778, North Dakota -5,656, Minnesota -5,226, Missouri -3,468, Kansas -1,894, South Dakota -216.

### **What would have published the held states**

Iowa: the model's error would have to fall by **6.74 points**, to 17.68, to sit below the benchmark's 17.69. Nebraska: the model's error would have to fall by **4.36 points**, to 22.58, to sit below the benchmark's 22.59. North Dakota: the model's error would have to fall by **25.19 points**, to 27.94, to sit below the benchmark's 27.95. Nothing in the record moves them; the holds stand until the next quarter's back test.

### **Why no other publication list survives**

The standard fixes the record (regular program counts, week ending Saturday), the model, the benchmark, the back test (26 origins, 4 horizons, percentage error) and the decision rule (each state on its own test, model below benchmark). On those terms the same three states hold under absolute as well as percentage error, under 20 or 30 origins and under a four or thirteen week ratio. The twelve state list survives only by replacing the state test with a regional one, and the five state list only by replacing the comparison with a level.